Oil Comment: Gulf Exports: Short-Term Uncertainty, Long-Term Pipeline Hedge

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- The recent oil price rally, driven by tanker attacks and renewed US–Iran strikes, demonstrates how critical Hormuz flows remain for prices in the short-term. However, in the long-term, we estimate that enough pipeline capacity will likely be added in the Mideast region to insulate over 45% of the pre-war level of Persian Gulf producers' exports by end-2027 and more than 60% by end-2028 from any potential future Hormuz shocks (Exhibit 1).
- History suggests that single-country pipelines in the Mideast are likely to be built relatively quickly.
    - Across our sample, the median construction time was 2.5 years, with construction typically occurring more rapidly in response to supply disruptions but more slowly when requiring coordination across multiple countries[1] (Exhibit 2).
- We estimate future additions of effective pipeline capacity bypassing Hormuz by considering seven Mideast pipelines that are already under construction, in the planning phase, and/or part of potential projects involving the restoration/expansion of existing pipelines[2]. We make the simplifying assumption that additional pipeline capacity will be used for exports[3].
    - In our base case[4], we estimate that effective pipeline capacity will rise by an additional 3.8mb/d by end-2027 and 7.3mb/d cumulatively by end-2028[5]. This implies over 14mb/d of effective pipeline capacity by

[1] Four out of the eight Mideast pipelines in our sample required coordination across multiple countries. Of these, one was built in 1-2 years, two were built in 2-3 years, and one was built in 4-5 years.

[2] The two considered pipeline projects that are already under construction are the West–East Pipeline in the UAE and the Basra–Haditha Pipeline in Iraq. We consider the three extensions of the Basra–Haditha Pipeline (Haditha–Baniyas, –Ceyhan, and –Aqaba), which are currently in the planning phase, to be part of the same project and will "unlock" the effective capacity of the main pipeline. The considered project that is wholly in the planning phase is the restoration of the Kirkuk–Baniyas Pipeline in Iraq/Syria. The four considered potential future projects are expansion of capacity at Yanbu port and of the East–West Pipeline itself in Saudi Arabia, construction of the Hamriyah–Fujairah Pipeline in the UAE, and restoration of the Kirkuk–Ceyhan Pipeline in Iraq/Turkiye.

[3] Across scenarios, we also assume that capacity is only effectively added once the entire pipeline comes online, and we consider baseline capacity without accounting for added capacity from pumping stations, implying upside risk to our estimates.

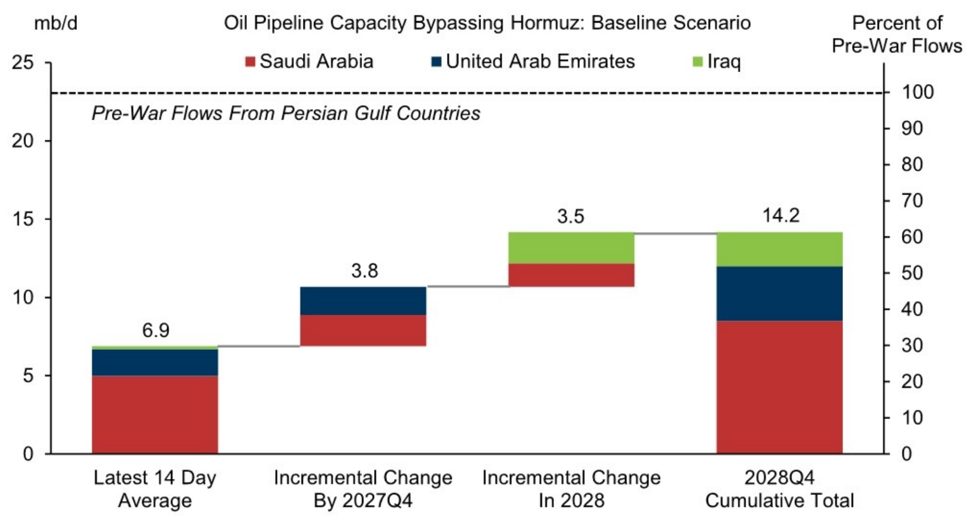
[4] In our baseline scenario, we estimate that four of the seven projects considered will be fully complete and operable by end-2028, and a fifth will be partially complete/operable (specifically, two out of the three Basra–Haditha Pipeline extensions will be constructed). For projects lacking official guidance, we assume that the construction of a new pipeline will be completed approximately 6 months faster than its closest historical analogue, and restoration of an existing pipeline will be completed approximately 1 year faster than the original pipeline was built (with the exception of the Kirkuk–Baniyas Pipeline, given diplomatic frictions). This assumption is based on the fact that reducing the Hormuz dependency is a top strategic priority.

end-2028, which would insulate more than 60% of the 23mb/d of pre-war oil exports by the seven Persian Gulf countries that geographically need to rely on pipelines to de-risk exports from Hormuz disruptions[6] (Exhibit 1).

- Our estimates are sensitive to our assumptions regarding the feasibility of potential projects and construction speed.
  - In our "Accelerated Scenario"[7], pipeline capacity will insulate 75% of exports by end-2028, versus just over 45% of exports in our "Conservative Scenario"[8] (Exhibit 3).

- At the peak of the US-Iran war, we upgraded our long-dated price assumption (i.e., 3 year ahead Brent futures) by $9/bbl to $76, primarily on a higher structural security premium. Recent attacks highlight how uncertain Gulf exports remain and that a serious re-escalation could re-intensify the short run upside risk to oil prices. However, the eventual expansion of pipeline capacity bypassing Hormuz poses downside risk to this long-dated price assumption[9].

Our Base Case Implies Over 14mb/d of Effective Pipeline Capacity by End-2028, Insulating More Than 60% of the Pre-War Level of Persian Gulf Producers' Exports From Any Potential Closures



We measure current effective pipeline capacity (latest 14 day average) as the sum of flows from the ports of Yanbu (via East–West pipeline), Fujairah (via ADCOP pipeline), and Botas Ceyhan (via Kirkuk–Ceyhan pipeline). We assume 100% of oil currently being exported from Botas Ceyhan is Iraqi. The seven considered Persian Gulf countries are Saudi Arabia, Kuwait, Iraq, Qatar, Bahrain, the UAE, and Iran.

Source: Goldman Sachs Global Investment Research

[5] We estimate the total cost across projects around $30–48bn.

[6] The seven countries are Saudi Arabia, Kuwait, Iraq, Qatar, Bahrain, the UAE, and Iran. We exclude Oman from our analysis because it sits outside the Strait of Hormuz.

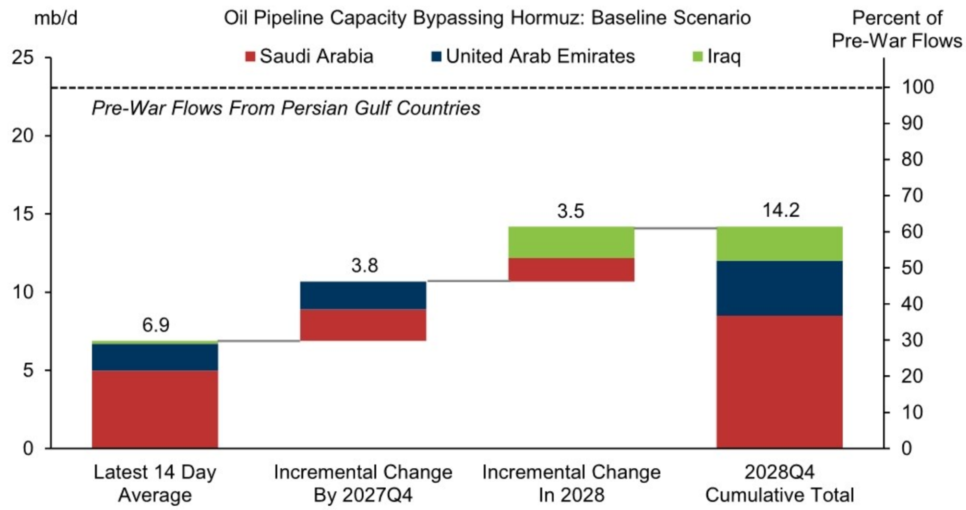
[7] In our "Accelerated Scenario", we assume that each pipeline project covered in our base case will reach completion 6 months to 1 year earlier. We also assume that two additional projects (construction of the Hamriyah–Fujairah Pipeline and partial restoration of the Kirkuk–Ceyhan Pipeline) will be feasible, the third Basra–Haditha Pipeline extension will be constructed, and the East–West Pipeline will be expanded by an additional 0.5mb/d.

[8] In our "Conservative Scenario", we assume that only two projects will be feasible and will reach completion 6 months to 1 year later relative to our base case.

[9] We don't analyze non-pipeline capacity expansions, such as trucking corridors and railroads.

Gulf Exports: Short-Term Uncertainty, Long-Term Pipeline Hedge

Exhibit 1: Our Base Case Implies Over 14mb/d of Effective Pipeline Capacity by End-2028, Insulating More Than 60% of the Pre-War Level of Persian Gulf Producers' Exports From Any Potential Closures



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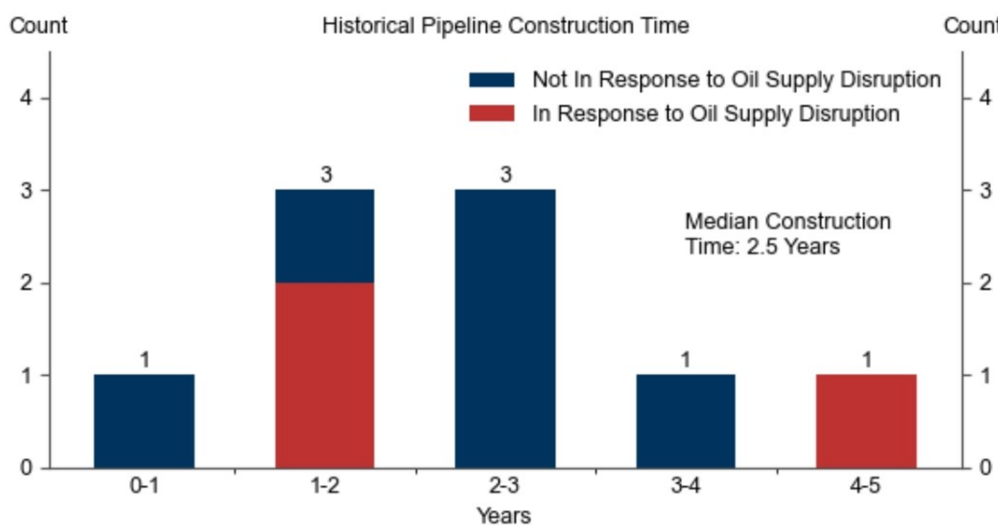
Source: Goldman Sachs Global Investment Research

Exhibit 2: Across a Sample of 9 Major Pipelines, the Median Existing Pipeline Was Built in 2.5 Years

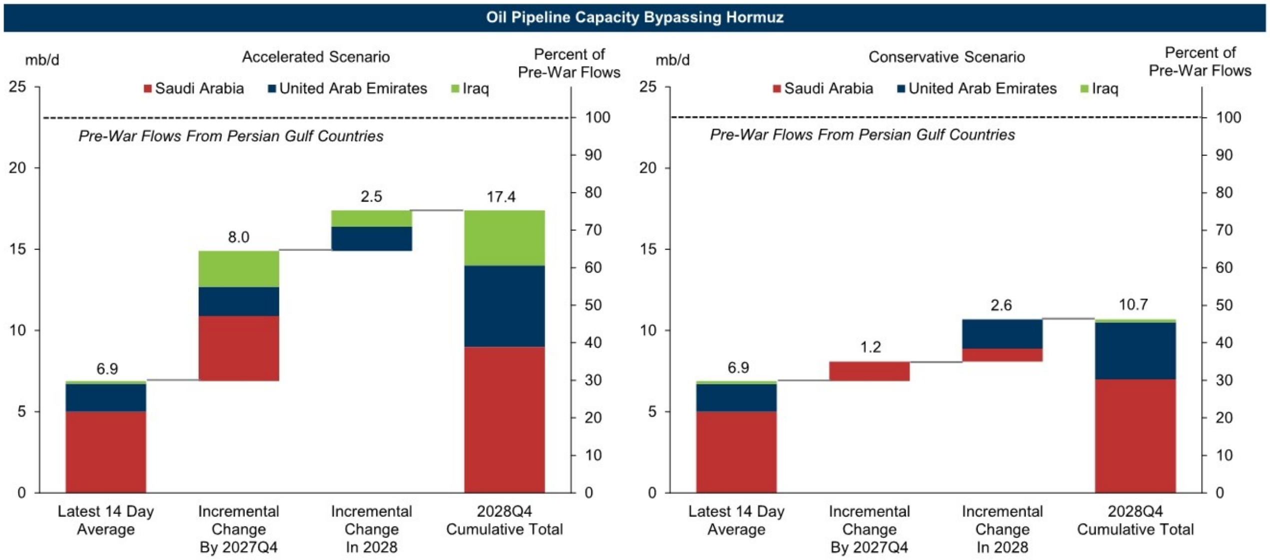


Encompasses eight pipelines built in the Persian Gulf and the fastest pipeline ever built (US + Canada).

The East–West Pipeline (Petroline) and Iraqi Pipeline through Saudi Arabia (IPSA) were built in response to the Iran–Iraq War, and the Goreh–Jask pipeline was built in response to the US "maximum pressure" sanctions campaign.

Source: Goldman Sachs Global Investment Research

Exhibit 3: Depending on the Scope of Pipeline Projects and Speed of Their Development, We Estimate Anywhere Between 45–75% of Pre-War Persian Gulf Producers' Exports Will Be Insulated by Effective Pipeline Capacity By End-2028



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Source: Goldman Sachs Global Investment Research

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